Chapter Two

State of the Real Economy

Output and Gross Value Added in the Economy

When one buys a packet of potato chips, the price paid by the consumer closely equals what economists call the gross value added or GVA. Let us assume the packet of chips, to explain in simpler terms, passed through three stages of production: production of potatoes, production of the packet of chips and its distribution and sales through the distributor. At each of these three stages, there was an output that got sold as input to the next producer/distributor. The farmer sold the potato to the potato chips factory, which in turn sold the potato chips to the distributor. The distributor finally sold the packet of potato chips to the consumer. The value added by the farmer in producing potatoes equals the output of potato minus the cost of inputs like seeds, fertilizers, etc. purchased by him. For the potato chip factory, the cost of the potato that went into producing the potato chip is the input and therefore the value added by the chip factory is the output value of the potato chip minus the input cost of the potato and other purchased inputs other than the labour. Likewise, for the distributor, the cost of the potato chip is the input and the price at which the distributor sold it to the consumer is the output with the difference between the two being the distributor's value added.

Value added by all three economic agents in this example when totalled becomes the GVA of the potato chips produced and sold in the economy. Adding the output values of all the economic agents would equal the total output produced in the economy. Total output adds up the outputs produced